

Latest pattern MCQs for FAA

Q1. Consider the following statements regarding the problem of scarcity:

Statement I: Scarcity exists because human wants are unlimited while resources have alternative uses.

Statement II: Scarcity can be completely eliminated through technological advancement.

Statement III: The existence of scarcity makes choice and opportunity cost unavoidable.

Which of the options correctly identifies the true statements?

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q2. Regarding opportunity cost, consider the following:

Statement I: Opportunity cost represents the value of the next best alternative forgone.

Statement II: Opportunity cost is always measured in monetary terms.

Statement III: Opportunity cost arises because resources have alternative uses.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q3. Consider the following statements about the central economic problems:

Statement I: "What to produce" involves deciding the composition and quantity of goods and services.

Statement II: "How to produce" is concerned exclusively with determining the wages paid to workers.

Statement III: "For whom to produce" is related to the distribution of output among different sections of society.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q4. Regarding a production possibility frontier (PPF):

Statement I: A point inside the PPF generally indicates inefficient utilization of resources.

Statement II: A point outside the PPF is attainable with the existing resources and technology.

Statement III: An outward shift of the PPF can result from an increase in productive resources.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q5. Consider the following statements regarding economic efficiency:

Statement I: Productive efficiency occurs when output is produced at the lowest possible resource cost.

Statement II: Allocative efficiency requires resources to be distributed according to consumer preferences and social priorities.

Statement III: Economic efficiency necessarily guarantees an equitable distribution of income.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q6. Regarding the problem "for whom to produce":

Statement I: Distribution of income influences the purchasing power of different individuals.

Statement II: In a market economy, purchasing power plays an important role in determining access to goods and services.

Statement III: A market economy automatically distributes goods according to biological needs irrespective of income.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q7. Consider the following statements about a free-market economy:

Statement I: Prices perform an important signaling and coordinating function.

Statement II: Resource allocation is primarily determined by government commands rather than market forces.

Statement III: Changes in relative prices can influence producers' decisions regarding resource allocation.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q8. Regarding economic choice, consider:

Statement I: Choosing one alternative necessarily involves foregoing at least one other alternative when resources are scarce.

Statement II: Opportunity cost exists even when the chosen alternative has no explicit monetary price.

Statement III: Unlimited resources would make the problem of economic choice more severe.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q9. Consider the following statements about mixed economies:

Statement I: A mixed economy combines elements of market mechanisms and government intervention.

Statement II: Government intervention may aim to correct market failures and promote equity.

Statement III: In a mixed economy, all resource allocation decisions are necessarily made by the government.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q10. Regarding the basic economic problem:

Statement I: Scarcity is a relative concept rather than an indication that a resource is absolutely unavailable.

Statement II: Even a wealthy economy faces scarcity because wants can exceed available resources.

Statement III: Economic growth completely eliminates the fundamental problem of scarcity.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q11. Consider the following statements regarding income distribution:

Statement I: Factor incomes include wages, rent, interest, and profit.

Statement II: The distribution of factor income can influence the distribution of purchasing power.

Statement III: Equal factor income necessarily implies equal consumption of every good.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q12. Regarding the “how to produce” problem:

Statement I: Producers may choose between labor-intensive and capital-intensive techniques.

Statement II: The choice of technique can depend on relative prices of factors of production.

Statement III: The most technologically advanced production technique is always economically optimal.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q13. Consider the following statements about social equity and efficiency:

Statement I: A policy may improve income equality while potentially creating efficiency costs.

Statement II: Efficiency and equity are always perfectly compatible objectives.

Statement III: The conflict between efficiency and equity is an important issue in economic policy.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q14. Regarding market allocation:

Statement I: In a competitive market, prices can influence both demand and supply decisions.

Statement II: Higher purchasing power generally increases an individual's ability to obtain market goods, other things being equal.

Statement III: Market allocation necessarily ensures that goods reach those with the greatest biological need.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q15. Consider the following statements regarding production possibilities:

Statement I: The PPF illustrates alternative combinations of output that can be produced with given resources and technology.

Statement II: A movement along a PPF generally reflects a tradeoff between outputs.

Statement III: A movement along the PPF necessarily represents economic growth.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q16. Regarding economic systems:

Statement I: In a command economy, central authorities play a major role in determining resource allocation.

Statement II: In a market economy, decentralized decisions of consumers and producers influence resource allocation.

Statement III: Both systems face no problem of scarcity because their allocation mechanisms differ.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q17. Consider the following statements about consumer sovereignty:

Statement I: Consumer demand can influence what producers choose to produce in a market economy.

Statement II: Consumer sovereignty means that consumers can obtain any good regardless of their income.

Statement III: Purchasing power can limit the extent to which preferences translate into effective market demand.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q18. Regarding the distribution of national output:

Statement I: The distribution of national output is influenced by the distribution of income and purchasing power.

Statement II: Government taxation and transfer policies can alter the distribution of disposable income.

Statement III: Redistribution policies are completely irrelevant to the problem of “for whom to produce.”

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q19. Consider the following statements regarding resource allocation:

Statement I: Allocating more resources to one activity can reduce the resources available for another activity.

Statement II: The opportunity cost of an allocation decision depends on the best alternative forgone.

Statement III: Resource allocation has no connection with the central economic problem of “what to produce.”

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q20. Consider the following statements regarding efficiency and equity:

Statement I: An economically efficient allocation may coexist with substantial inequality.

Statement II: A government may use redistribution to pursue greater equity

even if such policies involve efficiency tradeoffs.

Statement III: Maximizing total output automatically guarantees that every

individual receives an equal share of national output.

- (A) Only I and II
- (B) Only I and III
- (C) Only II and III
- (D) I, II, and III

Q21. Consider the following statements regarding the Primary Sector:

Statement I: Primary sector activities generally involve obtaining resources directly from nature.

Statement II: Mining is classified under the primary sector even though extracted minerals may subsequently undergo industrial processing.

Statement III: Primary sector activities necessarily produce only food products.

Which of the statements given above are correct?

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q22. Consider the following statements regarding the Secondary Sector:

Statement I: Manufacturing converts raw materials into goods having greater utility or value.

Statement II: Construction is generally included in the secondary sector.

Statement III: Every activity involving physical goods automatically belongs to the secondary sector.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q23. Consider the following statements regarding the Tertiary Sector:

Statement I: The tertiary sector

primarily provides services rather than tangible physical goods.

Statement II: Banking, transportation, communication, and insurance are examples of tertiary activities.

Statement III: The tertiary sector has

no role in supporting agricultural and manufacturing activities.

(A) Only I and II

(B) Only II and III

(C) Only I and III

(D) I, II, and III

Q24. Consider the following statements regarding interdependence among sectors:

Statement I: Agriculture can provide

raw materials required by certain manufacturing industries.

Statement II: Manufacturing may

supply machinery and inputs required by agriculture.

Statement III: The tertiary sector can facilitate the movement, financing,

and marketing of goods produced by

the other sectors.

(A) Only I and II

(B) Only II and III

(C) Only I and III

(D) I, II, and III

Q25. Consider the following statements regarding economic development and sectoral transformation:

Statement I: Economic development is often associated with a declining relative

importance of agriculture in employment and output.

Statement II: Industrialization can increase the importance of the secondary sector during certain stages of development.

Statement III: Development necessarily causes the tertiary sector to disappear.

(A) Only I and II

(B) Only II and III

(C) Only I and III

(D) I, II, and III

Q26. Consider the following statements regarding value addition:

Statement I: Processing raw cotton into yarn involves value addition.

Statement II: Value addition can occur when a product is transformed into a

form that is more useful to consumers or other producers.

Statement III: Value addition is possible only in the manufacturing sector.

(A) Only I and II

(B) Only II and III

(C) Only I and III

(D) I, II, and III

Q27. Consider the following statements regarding employment in different sectors:

Statement I: A country may have a large proportion of its workforce employed

in agriculture despite agriculture contributing a relatively smaller share to national income.

Statement II: Such a situation may indicate relatively low productivity in agriculture.

Statement III: A high share of employment in the primary sector

always indicates a highly developed economy.

(A) Only I and II

(B) Only II and III

(C) Only I and III

(D) I, II, and III

Q28. Consider the following statements regarding organized and unorganized activities:

Statement I: The distinction between primary, secondary, and tertiary sectors

is based primarily on the nature of economic activity rather than whether the activity is organized or unorganized.

Statement II: A service provider operating informally can still belong to the tertiary sector.

Statement III: Only formally registered businesses can be classified into the three sectors.

- (A) Only I and II**
- (B) Only II and III**
- (C) Only I and III**
- (D) I, II, and III**

Q29. Consider the following statements regarding agriculture and allied activities:

Statement I: Crop cultivation is a primary-sector activity.

Statement II: Fishing and forestry are generally classified as primary-sector activities.

Statement III: Food processing of agricultural produce is generally a

primary-sector activity because its raw material comes from agriculture.

- (A) Only I and II**
- (B) Only II and III**
- (C) Only I and III**
- (D) I, II, and III**

Q30. Consider the following statements regarding manufacturing:

Statement I: Manufacturing can create additional value by converting intermediate goods or raw materials into more usable products.

Statement II: Manufacturing has backward and forward linkages with other sectors of the economy.

Statement III: Manufacturing is completely independent of services such as transportation, banking, and insurance.

- (A) Only I and II**
- (B) Only II and III**
- (C) Only I and III**
- (D) I, II, and III**

Q31. Consider the following statements regarding the service sector:

Statement I: Expansion of education, healthcare, banking, tourism, and information technology can contribute to growth of the tertiary sector.

Statement II: Services may support both production and consumption activities.

Statement III: Since services are intangible, they cannot contribute to national income.

- (A) Only I and II**
- (B) Only II and III**
- (C) Only I and III**
- (D) I, II, and III**

Q32. Consider the following statements regarding structural change:

Statement I: Structural transformation refers to changes in the relative contribution of different sectors to an economy.

Statement II: Movement of workers from low-productivity agricultural activities to

higher-productivity industrial or service activities may accompany economic development.

Statement III: Structural transformation means that the primary sector must completely vanish.

- (A) Only I and II**
- (B) Only II and III**
- (C) Only I and III**
- (D) I, II, and III**

Q33. Consider the following statements regarding transportation:

Statement I: Transportation is generally classified as a tertiary-sector activity.

Statement II: Transportation facilitates the movement of raw materials to factories and finished goods to markets.

Statement III: Because transportation supports manufacturing, it should itself be classified as a secondary-sector activity.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q34. Consider the following statements regarding mining and processing:

Statement I: Extraction of iron ore from a mine is generally a primary-sector activity.

Statement II: Converting iron ore into steel through industrial processing belongs to the secondary sector.

Statement III: Both activities must belong to the same sector because they involve the same natural resource.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q35. Consider the following statements regarding tertiarization:

Statement I: Tertiarization refers to the increasing importance of the service sector in an economy.

Statement II: Rising incomes can increase demand for several services such as education, healthcare, recreation, and financial services.

Statement III: Tertiarization necessarily means that manufacturing output must fall in absolute terms.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q36. Consider the following statements regarding sectoral classification:

Statement I: An activity can be classified according to the immediate nature of the economic process involved.

Statement II: The same broad commodity can pass through different sectors during different stages of its production chain.

Statement III: Once a commodity originates in the primary sector, every subsequent activity related to it remains part of the primary sector.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q37. Consider the following statements regarding productivity:

Statement I: Productivity refers broadly to the amount of output generated from a given quantity of inputs.

Statement II: A shift of workers between sectors does not automatically guarantee an increase in aggregate productivity.

Statement III: Every service-sector job is necessarily more productive than every agricultural job.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q38. Consider the following statements regarding economic linkages:

Statement I: Banks can provide credit to farmers, manufacturers, and service providers.

Statement II: Improved transport infrastructure can reduce the cost of moving agricultural and industrial products.

Statement III: Because tertiary activities provide services, they cannot influence

productivity in primary and secondary sectors.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q39. Consider the following statements regarding sectoral contribution:

Statement I: The sector employing the largest proportion of workers need not necessarily contribute the largest share of GDP.

Statement II: Differences in labor productivity can explain why employment shares and output shares differ across sectors.

Statement III: Employment share and output share must always be identical in every economy.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q40. Consider the following statements regarding the overall structure of an economy:

Statement I: Primary, secondary, and tertiary sectors are interconnected rather than completely independent.

Statement II: Economic development can involve changes in the relative importance of all three sectors.

Statement III: A developed economy can have a tertiary sector without having any dependence on primary or secondary sector activities.

- (A) Only I and II
- (B) Only II and III
- (C) Only I and III
- (D) I, II, and III

Q41. Consider the following statements:

Statement I: If goods X and Y are substitutes, an increase in the price of X will generally increase the demand for Y.

Statement II: If goods A and B are complements, an increase in the price of A will generally decrease the demand for B.

Which of the following is correct?

- Both Statement I and Statement II are correct.
- Both Statement I and Statement II are incorrect.
- Statement I is correct, but Statement II is incorrect.
- Statement I is incorrect, but Statement II is correct.

Q42. Consider the following statements:

Statement I: A change in the price of a good itself causes a movement along its

demand curve, not a shift of the demand curve.

Statement II: A change in consumer income can shift the demand curve even

when the price of the good remains unchanged.

Which of the following is correct?

- Both Statement I and Statement II are correct.
- Both Statement I and Statement II are incorrect.
- Statement I is correct, but Statement II is incorrect.
- Statement I is incorrect, but Statement II is correct.

Q43. Consider the following statements:

Statement I: For a normal good, an increase in consumer income generally shifts the demand curve to the right.

Statement II: For an inferior good, an increase in income necessarily shifts the demand curve to the right.

Which of the following is correct?

- Both Statement I and Statement II are correct.
- Both Statement I and Statement II are incorrect.
- Statement I is correct, but Statement II is incorrect.
- Statement I is incorrect, but Statement II is correct.

Q44. Consider the following statements:

Statement I: Tea and coffee can be substitutes because consumers may

switch from one to the other when relative prices change.

Statement II: If the price of tea falls, the demand for coffee will necessarily increase.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q45. Consider the following statements:

Statement I: An increase in the price of petrol may reduce the demand for petrol-driven cars, *ceteris paribus*.

Statement II: Petrol and petrol-driven cars can be considered complementary goods.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct

Q46. Consider the following statements:

Statement I: A rightward shift in the demand curve indicates an increase in demand at every relevant price.

Statement II: A movement upward along the same demand curve represents an increase in demand.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q47. Consider the following statements:

Statement I: If the price of a substitute good rises, demand for the concerned good may increase.

Statement II: The cross-price effect between substitutes is generally positive.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q48. Consider the following statements:

Statement I: The cross-price effect between complementary goods is generally negative.

Statement II: If the price of printers falls, the demand for printer cartridges may

decrease because printers and cartridges are complements.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q49. Consider the following statements:

Statement I: Consumer expectations about future prices can influence present demand.

Statement II: If consumers expect a substantial price increase in the future, they may increase current demand.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q50. Consider the following statements:

Statement I: A fall in the price of a normal good generally increases its quantity demanded, ceteris paribus.

Statement II: This movement along the demand curve is called an increase in demand.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q51. Consider the following statements:

Statement I: If two goods are perfect substitutes, consumers may switch

completely toward the relatively

cheaper good under certain conditions.

Statement II: Perfect substitutes must always be consumed together in a fixed proportion.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q52. Consider the following statements:

Statement I: An increase in the number of consumers in a market can increase

market demand, other things remaining constant.

Statement II: Market demand is obtained by horizontally summing individual demand curves at each price.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q53. Consider the following statements:

Statement I: A fall in the price of a complementary good can increase

the demand for the concerned good.

Statement II: The price of a complementary good and demand

for the concerned good generally have

a positive relationship.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct

Q54. Consider the following statements:

Statement I: If the price of butter increases and consumers shift toward

margarine, butter and margarine behave as substitutes.

Statement II: An increase in the price of butter would generally shift the demand curve for margarine to the right, assuming other factors remain constant. Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q55. Consider the following statements:

Statement I: A change in tastes and preferences can shift the demand curve.

Statement II: A change in tastes necessarily causes a movement along the existing demand curve.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q56. Consider the following statements:

Statement I: If consumers' income falls, demand for every good must fall.

Statement II: Inferior goods may experience an increase in demand when consumer income falls, *ceteris paribus*.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q57. Consider the following statements:

Statement I: The demand for a good can increase even if its own price remains unchanged.

Statement II: An increase in the price of a substitute can be one reason for such an increase.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q58. Consider the following statements:

Statement I: If two goods are complements, a fall in the price of one may increase the demand for the other.

Statement II: Complementarity implies that the goods are generally used jointly or together in consumption.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q59. Consider the following statements:

Statement I: The law of demand describes an inverse relationship

between own price and quantity demanded, *ceteris paribus*.

Statement II: The law of demand implies that every change in demand is caused exclusively by a change in own price.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q60. Consider the following statements:

Statement I: When the demand curve

shifts to the right, the change represents an increase in demand rather than merely an increase in quantity demanded.

Statement II: A rise in the price of a substitute can be a factor responsible for such a rightward shift.

Which of the following is correct?

Both Statement I and Statement II are correct.

Both Statement I and Statement II are incorrect.

Statement I is correct, but Statement II is incorrect.

Statement I is incorrect, but Statement II is correct.

Q61. Consider the following statements regarding the Lender of Last Resort function of the RBI:

I. The RBI may provide liquidity support to banks facing temporary liquidity difficulties.

II. Lender of Last Resort means the RBI guarantees the solvency of every commercial bank.

III. This function can help contain panic and maintain confidence in the banking system.

Which of the statements given above are correct?

A) I and II only

B) I and III only

C) II and III only

D) I, II, and III

Q62. Consider the following statements regarding Bank Rate:

I. Bank Rate is one of the traditional monetary policy instruments of the RBI.

II. A rise in the Bank Rate can generally make borrowing from the central bank more expensive.

III. A change in Bank Rate has no possible effect on credit conditions in the economy.

A) I and II only

B) I and III only

C) II and III only

D) I, II, and III

Q63. Consider the following statements regarding Repo Rate:

I. Repo transactions involve the sale of securities with an agreement to repurchase them.

II. The repo rate is an important policy rate used by the RBI for monetary management.

III. An increase in the repo rate generally makes short-term borrowing by banks from the RBI cheaper.

A) I and II only

B) I and III only

C) II and III only

D) I, II, and III

Q64. Consider the following statements regarding Reverse Repo:

I. Reverse repo operations can be used by the central bank to absorb liquidity from the banking system.

II. In a reverse repo transaction, banks may park surplus funds with the central bank against eligible securities.

III. Reverse repo operations necessarily inject additional liquidity into commercial banks.

A) I and II only

B) I and III only

C) II and III only

D) I, II, and III

Q65. Consider the following statements regarding Cash Reserve Ratio (CRR):

I. Banks are required to maintain a specified proportion of certain liabilities as cash reserves with the RBI.

II. An increase in CRR can reduce the lendable resources of commercial banks, other things remaining constant.

III. CRR is maintained entirely in the form of physical gold with commercial banks.

A) I and II only

B) I and III only

C) II and III only

D) I, II, and III

Q66. Consider the following statements regarding Statutory Liquidity Ratio (SLR):

- I. SLR requires banks to maintain a specified proportion of their liabilities in liquid assets.**
- II. Eligible assets for SLR can include government securities.**
- III. SLR and CRR are identical because both require banks to keep all reserves exclusively with the RBI.**

- A) I and II only**
- B) I and III only**
- C) II and III only**
- D) I, II, and III**

Q67. Consider the following statements regarding Open Market Operations (OMO):

- I. OMO involves the purchase or sale of government securities by the central bank.**
- II. Purchase of securities by the RBI can inject liquidity into the banking system.**
- III. Sale of securities by the RBI can potentially absorb liquidity from the banking system.**

- A) I and II only**
- B) I and III only**
- C) II and III only**
- D) I, II, and III**

Q68. Consider the following statements regarding Monetary Policy:

- I. Monetary policy can influence liquidity, interest rates, and credit conditions.**
- II. One objective of monetary policy is to maintain price stability while keeping growth considerations in view.**
- III. Monetary policy is concerned exclusively with government taxation and public expenditure.**

- A) I and II only**
- B) I and III only**
- C) II and III only**
- D) I, II, and III**

Q69. Consider the following statements regarding the RBI as a central bank:

- I. The RBI acts as the monetary authority of India.**
- II. It performs functions relating to currency management and banking regulation.**
- III. It operates primarily as an ordinary profit-maximizing commercial bank competing with private banks.**

- A) I and II only**
- B) I and III only**
- C) II and III only**
- D) I, II, and III**

Q70. Consider the following statements regarding Bankers' Bank function:

- I. Commercial banks maintain certain reserves with the RBI.**
- II. The RBI can provide liquidity assistance to commercial banks under appropriate circumstances.**
- III. The Bankers' Bank function means that the RBI accepts deposits from the public exactly like an ordinary commercial bank.**

- A) I and II only**
- B) I and III only**
- C) II and III only**
- D) I, II, and III**

Q71. Consider the following statements regarding currency issuance:

- I. The RBI has the authority to issue banknotes in India subject to statutory provisions.
- II. The ₹1 currency note is issued by the Government of India rather than the RBI.
- III. The RBI's currency management role includes maintaining adequate supply of currency.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q72. Consider the following statements regarding credit control:

- I. Quantitative monetary instruments can influence the overall availability of credit.
- II. Changes in reserve requirements can affect banks' capacity to create credit.
- III. Credit control means that the RBI directly determines every individual loan granted by every commercial bank.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q73. Consider the following statements regarding Moral Suasion:

- I. Moral suasion is a qualitative method through which the central bank can influence banks' lending behavior.
- II. It may involve persuasion, requests, or guidance to financial institutions.
- III. Moral suasion always involves legally enforceable penalties for every bank that does not comply.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q74. Consider the following statements regarding Selective Credit Control:

- I. Selective credit controls can be directed toward particular sectors or uses of credit.
- II. They differ from general quantitative measures that affect overall credit conditions.
- III. Selective credit control means that the RBI completely eliminates all credit creation by commercial banks.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q75. Consider the following statements regarding financial stability:

- I. A central bank's lender-of-last-resort function can help address temporary liquidity stress.
- II. Liquidity support and solvency are conceptually different: a bank may be liquid but insolvent, or temporarily illiquid despite having viable assets.
- III. Every insolvent bank can automatically be made solvent merely by providing emergency liquidity.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q76. Consider the following statements regarding inflation and monetary policy:

- I. Tightening monetary conditions can be used to moderate excessive demand pressures.
- II. Higher policy interest rates can increase borrowing costs, other things remaining constant.
- III. Monetary tightening necessarily causes inflation to increase immediately in every situation.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q77. Consider the following statements regarding liquidity:

I. Liquidity refers broadly to the ease with which an asset can be converted into cash without substantial loss of value.

II. A bank can face a liquidity problem even when many of its assets are

fundamentally sound but cannot be converted into cash quickly enough.

III. A liquidity crisis and a solvency crisis are always exactly the same phenomenon.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q78. Consider the following statements regarding RBI's regulatory role:

I. The RBI regulates and supervises important parts of India's banking system.

II. Regulation and supervision can help protect depositors and maintain financial stability.

III. RBI regulation implies that commercial banks face no possibility of financial loss.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q79. Consider the following statements regarding monetary transmission:

I. Changes in policy rates can influence market interest rates.

II. Changes in borrowing costs can affect consumption and investment decisions.

III. Monetary policy transmission guarantees that every change in the policy rate produces an equal and immediate change in inflation.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q80. Consider the following statements regarding the overall role of the RBI:

I. The RBI performs monetary, regulatory, developmental, and financial-system-related functions.

II. Its functions are aimed at supporting monetary stability and orderly functioning of the financial system.

III. The RBI's role is limited only to printing currency and does not include monetary policy or banking regulation.

- A) I and II only
- B) I and III only
- C) II and III only
- D) I, II, and III

Q81. Consider the following statements regarding Market Price (MP) and Factor Cost (FC):

Statement 1: Market Price includes the impact of net indirect taxes.

Statement 2: Factor Cost represents the payments made to factors of production for their contribution to production.

Statement 3: Market Price and Factor Cost must always be equal irrespective of taxes and subsidies.

Which of the following options is correct?

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q82. Consider the following statements regarding Net Indirect Taxes (NIT):

Statement 1: Net Indirect Taxes are calculated as indirect taxes minus subsidies.

Statement 2: If indirect taxes exceed subsidies, NIT will be positive.

Statement 3: If subsidies exceed indirect taxes, NIT will necessarily be zero.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q83. Consider the following statements:

Statement 1: Market Price can be converted into Factor Cost by subtracting Net Indirect Taxes.

Statement 2: Factor Cost can be converted into Market Price by adding Net Indirect Taxes.

Statement 3: When NIT is negative, Market Price can be lower than Factor Cost.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q84. Consider the following statements regarding indirect taxes:

Statement 1: GST is an example of an indirect tax.

Statement 2: Indirect taxes are generally imposed on goods and services rather than directly on the income of individuals.

Statement 3: An indirect tax can never influence the market price paid by consumers.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q85. Consider the following statements regarding subsidies:

Statement 1: A production subsidy can reduce the effective cost of production for producers.

Statement 2: Subsidies are deducted from indirect taxes while calculating Net Indirect Taxes.

Statement 3: A subsidy necessarily increases the market price of the subsidized product.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q86. Consider the following statements regarding GDP at Market Price:

Statement 1: GDP at Market Price measures the value of final goods and services produced within the domestic territory at market prices.

Statement 2: GDP at Market Price can be converted into GDP at Factor Cost by subtracting Net Indirect Taxes.

Statement 3: GDP at Market Price excludes all government-related economic activity.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q87. Consider the following statements regarding GDP and GNP:

Statement 1: GDP is based on the geographical boundaries of domestic production.

Statement 2: GNP adjusts GDP for Net Factor Income from Abroad.

Statement 3: GNP is always greater than GDP for every country.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q88. Consider the following statements regarding Net Factor Income from Abroad (NFIA):

Statement 1: NFIA is the difference between factor income received from abroad and factor income paid to abroad.

Statement 2: If factor income paid to foreigners exceeds factor income received from abroad, NFIA becomes negative.

Statement 3: A negative NFIA necessarily means that a country's GDP is negative.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q89. Consider the following statements regarding Gross and Net concepts:

Statement 1: Net Domestic Product is obtained by subtracting depreciation from Gross Domestic Product.

Statement 2: Depreciation represents the loss in value of fixed capital due to wear and tear and obsolescence.

Statement 3: Adding depreciation to NDP gives GDP.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q90. Consider the following statements regarding National Income:

Statement 1: National Income is conventionally associated with Net National Product at Factor Cost.

Statement 2: National Income accounts for income accruing to factors of production.

Statement 3: National Income is identical to GDP at Market Price under all circumstances.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q91. Consider the following statements regarding depreciation:

Statement 1: Depreciation is also referred to as consumption of fixed capital in national accounting.

Statement 2: Deduction of depreciation converts a gross measure into a corresponding net measure.

Statement 3: Depreciation is the same as indirect tax because both reduce disposable income.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q92. Consider the following statements regarding final and intermediate goods:

Statement 1: Final goods are counted in GDP to avoid double counting.

Statement 2: The value of intermediate goods is generally incorporated into the value of final goods.

Statement 3: Every good is permanently classified as either final or intermediate regardless of its use.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q93. Consider the following statements regarding double counting:

Statement 1: Counting the value of intermediate goods separately along with final goods can lead to double counting.

Statement 2: The value-added method helps avoid double counting by considering value added at different stages of production.

Statement 3: Double counting always causes national income to be underestimated.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q94. Consider the following statements regarding real and nominal GDP:

Statement 1: Nominal GDP is measured using current-period prices.

Statement 2: Real GDP is adjusted to remove the effect of changes in the general price level.

Statement 3: An increase in nominal GDP always means that the physical volume of production has increased.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q95. Consider the following statements regarding GDP deflator:

Statement 1: GDP deflator reflects the price level of domestically produced final goods and services included in GDP.

Statement 2: GDP deflator can differ from a consumer price index because their baskets and coverage are different.

Statement 3: GDP deflator includes only imported consumer goods.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q96. Consider the following statements regarding personal income:

Statement 1: Personal income refers broadly to income actually received by individuals or households before certain personal taxes.

Statement 2: National Income and Personal Income are conceptually identical measures.

Statement 3: Certain components of national income may not accrue directly to households as personal income.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q97. Consider the following statements regarding disposable income:

Statement 1: Personal Disposable Income is broadly the income available to households for consumption and saving after personal direct taxes.

Statement 2: An increase in personal direct taxes, other things remaining constant, tends to reduce disposable income.

Statement 3: Disposable income can never be saved because it must be entirely consumed.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q98. Consider the following statements regarding domestic income:

Statement 1: Domestic income is related to factor incomes generated within the domestic territory.

Statement 2: Domestic income is conceptually associated with Net Domestic Product at Factor Cost.

Statement 3: Domestic income necessarily includes all factor income earned by residents from abroad.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q99. Consider the following statements regarding Market Price and Factor Cost:

Statement 1: If indirect taxes increase while subsidies remain unchanged,

Market Price relative to Factor Cost tends to increase

Statement 2: If subsidies increase while indirect taxes remain unchanged, Net Indirect Taxes decrease.

Statement 3: A sufficiently large increase in subsidies can make Net Indirect Taxes negative.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

Q100. Consider the following statements regarding the relationship between GDP, NDP, GNP and National Income:

Statement 1: GDP is converted into GNP by adding Net Factor Income from Abroad.

Statement 2: GNP is converted into NNP by deducting depreciation.

Statement 3: NNP at Factor Cost is conventionally referred to as National Income.

- (a) Only Statement 1 and 2 are correct.
- (b) Only Statement 2 and 3 are correct.
- (c) Only Statement 1 and 3 are correct.
- (d) All statements 1, 2, and 3 are correct.

1. B	21. A	41. A	61. B
2. B	22. A	42. A	62. A
3. B	23. A	43. C	63. A
4. B	24. D	44. C	64. A
5. A	25. A	45. A	65. A
6. A	26. A	46. C	66. A
7. B	27. A	47. A	67. D
8. A	28. A	48. C	68. A
9. A	29. A	49. A	69. A
10. A	30. A	50. C	70. A
11. A	31. A	51. C	71. D
12. A	32. A	52. A	72. A
13. B	33. A	53. C	73. A
14. A	34. A	54. A	74. A
15. A	35. A	55. C	75. A
16. A	36. A	56. D	76. A
17. B	37. A	57. A	77. A
18. A	38. A	58. A	78. A
19. A	39. A	59. C	79. A
20. A	40. A	60. A	80. A

81. A

82. A

83. D

84. A

85. A

86. A

87. A

88. A

89. D

90. A

91. A

92. A

93. A

94. A

95. A

96. C

97. A

98. A

99. D

100. D